



Financial Due Diligence Report

NorthBridge Compliance Solutions - Simulated
FDD Deck Prepared for Confidential Private
Equity Client February 12, 2026 Private and
Confidential



Table of Contents

Provide the reader a structured navigation of the deck sections and how evidence flows to conclusions.

Section 1: Executive summary and transaction-relevant conclusions (slides s03-s05).

Section 2: Business overview and revenue quality (slides s06-s11).

Section 3: P&L walkthrough (slides s12-s18).

Section 4: Balance sheet, working capital profile, and cash conversion (slides s19-s24).

Section 5: QoE bridge and adjustment support status (slides s25-s32).

Section 6: Net working capital and peg implications (slides s33-s38).

Section 7: Key diligence risks and reporting environment (slides s39-s41).

Section 8: Appendices and exhibit placeholders (slides s42-s45).

Executive Summary - Headline Conclusions

Summarize the headline diligence conclusions, including earnings durability, normalization themes, and decision-level risks.

- NorthBridge delivered sustained topline growth from USD 125.0m in FY2023 to USD 168.0m in TTM Jun-2026 (+34%), with growth weighted to recurring subscriptions. This establishes the current value case, but final underwriting should remain contingent on support closure across the highest-sensitivity items.
- Management reporting indicates subscription revenue is approximately 82.1% of TTM revenue; this supports durability but remains subject to ARR-to-GL tie-out. For transaction decisions, this should be interpreted through a range-based lens until documentary tie-out is complete.
- Reported EBITDA reached USD 29.0m (17.3% margin) in TTM Jun-2026, and operating cash flow of USD 22.4m implies solid earnings conversion. This conclusion is directionally strong, although close certainty still depends on aligning evidence, valuation assumptions, and SPA definitions.
- Preliminary QoE analysis indicates normalized EBITDA of USD 32.4m (+USD 3.4m net), but pending support on several high-impact items prevents point-estimate certainty. The practical implication is that headline performance should be converted into support-tested assumptions before fixing purchase price mechanics.
- Operating NWC is structurally negative (USD -28.0m at Jun-2026), driven by deferred revenue mechanics rather than short-term liquidity stress. This supports the investment thesis, but confidence in point estimates should scale only with the depth of completed support testing.
- Deal value should be anchored to a support-tested EBITDA range and an explicitly defined negative peg to avoid mechanical pricing leakage at close. In deal terms, this should guide negotiation priorities on price, protections, and closing mechanics rather than serve as a standalone headline.

Executive Summary - Reported Performance

Highlight the reported financial trajectory, margin profile, and cash conversion in a transaction framing.

- Gross margin remained stable at approximately 64% across FY2023 through TTM Jun-2026, indicating consistent unit economics through a period of scale-up. This establishes the current value case, but final underwriting should remain contingent on support closure across the highest-sensitivity items.
- Reported EBITDA increased from USD 22.0m in FY2023 to USD 29.0m in TTM Jun-2026, while margin remained in a narrow 17-18% band as growth investment continued. For transaction decisions, this should be interpreted through a range-based lens until documentary tie-out is complete.
- Net debt declined from USD 42.0m to USD 29.0m over the same period, supported by recurring operating cash generation and scheduled term debt amortization. This conclusion is directionally strong, although close certainty still depends on aligning evidence, valuation assumptions, and SPA definitions.
- TTM pre-distribution free cash flow was approximately USD 14.9m (CFO USD 22.4m less capex and capitalized software of USD 7.5m). The practical implication is that headline performance should be converted into support-tested assumptions before fixing purchase price mechanics.
- The reported profile supports financing capacity, but valuation should not rely on reported EBITDA without full normalization support closure. This supports the investment thesis, but confidence in point estimates should scale only with the depth of completed support testing.
- Required diligence focus is on cut-off, capitalization policy, and classification consistency across QoE, NWC, and debt-like schedules. In deal terms, this should guide negotiation priorities on price, protections, and closing mechanics rather than serve as a standalone headline.

Executive Summary - Transaction Considerations

Summarize preliminary transaction considerations: normalized earnings base, working capital peg, and priority diligence close items.

- Preliminary normalized EBITDA is USD 32.4m (19.3% margin), compared with reported EBITDA of USD 29.0m (17.3% margin) for TTM Jun-2026. This establishes the current value case, but final underwriting should remain contingent on support closure across the highest-sensitivity items.
- Highest-risk open QoE themes remain services cut-off, capitalization policy normalization, and legal support completeness. For transaction decisions, this should be interpreted through a range-based lens until documentary tie-out is complete.
- Reported NWC is USD -28.0m at Jun-2026; identified adjustments move the preliminary adjusted position to USD -26.5m. This conclusion is directionally strong, although close certainty still depends on aligning evidence, valuation assumptions, and SPA definitions.
- A negative peg range of roughly USD -26m to USD -27m is directionally supportable, pending monthly seasonality schedules and final SPA definitions. The practical implication is that headline performance should be converted into support-tested assumptions before fixing purchase price mechanics.
- Without definition alignment, the same timing issue can be counted twice across EBITDA, NWC, and debt-like calculations. This supports the investment thesis, but confidence in point estimates should scale only with the depth of completed support testing.

Recommended close plan: finalize the top five QoE and top five NWC support packages before hard-wiring price mechanics. In deal terms, this should guide negotiation priorities on price, protections, and closing mechanics rather than serve as a standalone headline.

Business Overview

Describe the operating model, how the company makes money, and what features of revenue quality matter for transaction risk.

- NorthBridge is a cloud EHSQ software provider serving regulated industrial customers across North America. This supports the commercial thesis, but forecast confidence depends on reconciling management metrics to billed and recognized revenue.
 - The operating model combines recurring SaaS subscriptions with project-based implementation and configuration services. The related downside case should explicitly test conversion, churn, and pricing assumptions rather than extrapolating headline growth.
 - TTM Jun-2026 revenue was USD 168.0m, with management reporting approximately 420 customers across approximately 1,450 managed sites. From a valuation perspective, durability is supported, yet final confidence requires contract-level and cohort-level tie-out.
 - Delivery is supported by Toronto headquarters and hubs in Denver, Dallas, and Atlanta, using a blended onshore-offshore staffing model. The transaction relevance is high because revenue-quality assumptions directly drive both multiple support and debt capacity views.
 - Current scale and mix indicate a mature subscription base with a services layer that remains operationally capacity-constrained. This is directionally favorable, but underwriting should still isolate structural growth from timing effects and one-off commercial factors.
- Revenue durability depends on renewal quality, module expansion, and disciplined milestone cut-off in the services stream. This supports the commercial thesis, but forecast confidence depends on reconciling management metrics to billed and recognized revenue.
 - The high recurring mix supports valuation resilience, but services timing can still drive quarter-level EBITDA volatility. The related downside case should explicitly test conversion, churn, and pricing assumptions rather than extrapolating headline growth.
 - Policy-driven areas, especially capitalization and cut-off, are more likely than demand weakness to distort short-term profitability. From a valuation perspective, durability is supported, yet final confidence requires contract-level and cohort-level tie-out.
 - Buyer protections should prioritize definition precision and evidence-backed treatment of timing and policy adjustments. The transaction relevance is high because revenue-quality assumptions directly drive both multiple support and debt capacity views.
 - Near-term diligence priority is reconciling subscription, billing, and GAAP revenue views to one consistent baseline. This is directionally favorable, but underwriting should still isolate structural growth from timing effects and one-off commercial factors.

Revenue Mix and Recurring Quality

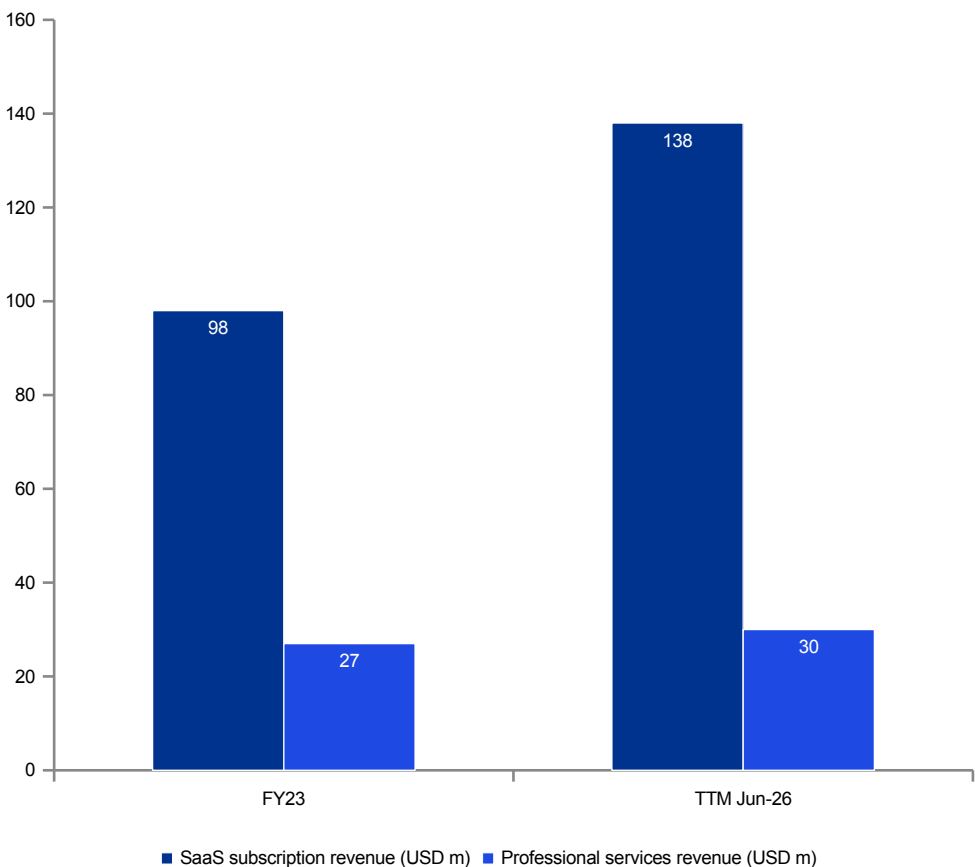
Quantify revenue mix (recurring vs non-recurring) and interpret implications for earnings durability and valuation.

- [CHART PLACEHOLDER] This visual should anchor the quantitative bridge on the page and be tied directly to source schedules before circulation.
- Revenue grew from USD 125.0m (FY23) to USD 168.0m (TTM Jun-26). This supports the commercial thesis, but forecast confidence depends on reconciling management metrics to billed and recognized revenue.
- SaaS subscription revenue increased from USD 98.0m (FY23) to USD 138.0m (TTM Jun-26), representing ~82.1% of total revenue (management reporting; preliminary). The related downside case should explicitly test conversion, churn, and pricing assumptions rather than extrapolating headline growth.
- Professional services revenue remained ~USD 29.0m-USD 30.0m per period (FY24-TTM), indicating delivery capacity constraints rather than demand constraints. From a valuation perspective, durability is supported, yet final confidence requires contract-level and cohort-level tie-out.

Revenue quality implication: higher recurring mix supports valuation durability, but services timing/cut-off can introduce quarter-to-quarter EBITDA volatility. The transaction relevance is high because revenue-quality assumptions directly drive both multiple support and debt capacity views.

Follow-up required: validate subscription vs services mapping from billing system to GL and reconcile ARR reporting to GAAP revenue. This is directionally favorable, but underwriting should still isolate structural growth from timing effects and one-off commercial factors.

- The transaction implication is that valuation and deal mechanics should rely on support-tested drivers and downside sensitivities, not headline run-rate alone. The key diligence objective is to convert these indicators into a reconciled revenue bridge that can support both valuation and covenant planning.



Source: management reporting package (preliminary) and financials-income-statement.csv

Revenue Bridge (FY23 to TTM Jun-26)

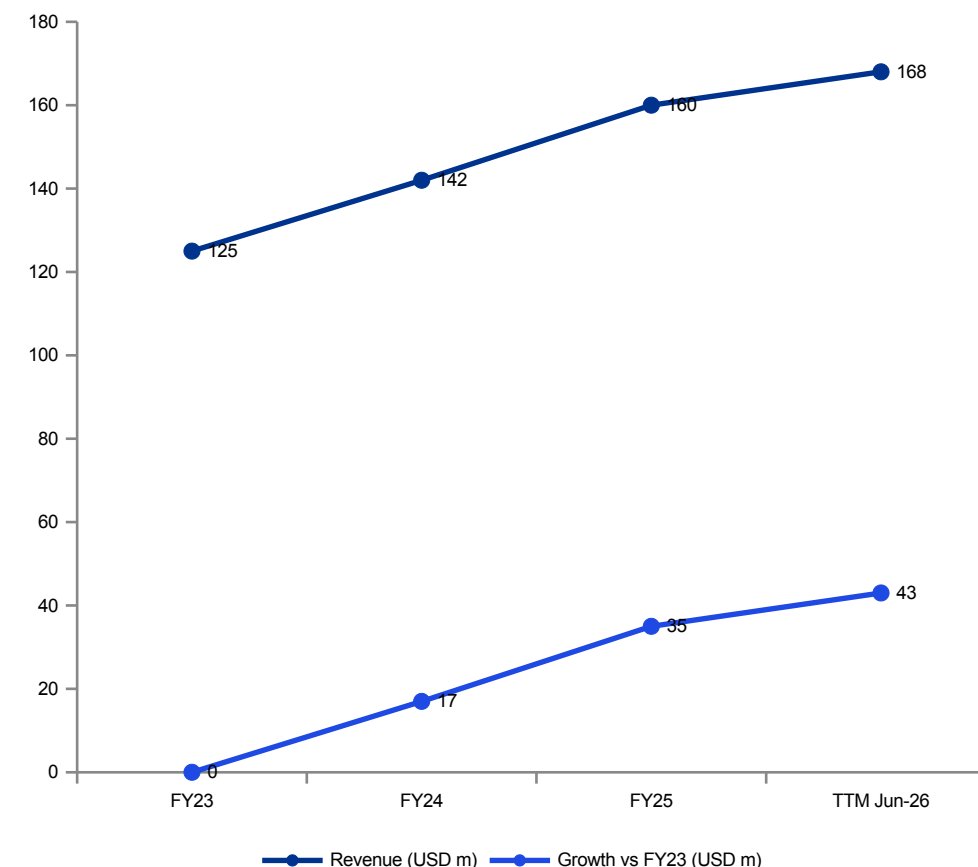
Explain the drivers of topline growth and isolate structural vs timing elements relevant to sustainability.

- [CHART PLACEHOLDER] This visual should anchor the quantitative bridge on the page and be tied directly to source schedules before circulation.
- Total revenue increased by USD 43.0m from FY23 (USD 125.0m) to TTM Jun-26 (USD 168.0m). This supports the commercial thesis, but forecast confidence depends on reconciling management metrics to billed and recognized revenue.

Management attribution (preliminary): growth driven by net new ARR (~USD 16m in FY25), annual price uplift (~3-4%), and cross-sell expansion within existing accounts. The related downside case should explicitly test conversion, churn, and pricing assumptions rather than extrapolating headline growth.

- Services revenue is relatively flat, consistent with implementation capacity constraints; backlog at Jun-26 estimated at ~USD 18m (management reporting; support pending). From a valuation perspective, durability is supported, yet final confidence requires contract-level and cohort-level tie-out.
- Churn and contraction are concentrated in smaller manufacturing customers; retention in utilities segment is reported higher (support pending by cohort). The transaction relevance is high because revenue-quality assumptions directly drive both multiple support and debt capacity views.
- The transaction implication is that base-case revenue durability is supported by subscription mix, but downside sensitivity should incorporate (i) pipeline conversion risk and (ii) services cut-off variability. This is directionally favorable, but underwriting should still isolate structural growth from timing effects and one-off commercial factors.

Follow-up required: complete source tie-out for the metrics on this page before converting preliminary conclusions into final deal positions. The key diligence objective is to convert these indicators into a reconciled revenue bridge that can support both valuation and covenant planning.



Source: financials-income-statement.csv; management attribution notes

Customer Concentration and Retention

Assess customer concentration, retention, and related downside sensitivity for the transaction.

- [CHART PLACEHOLDER] This visual should anchor the quantitative bridge on the page and be tied directly to source schedules before circulation.

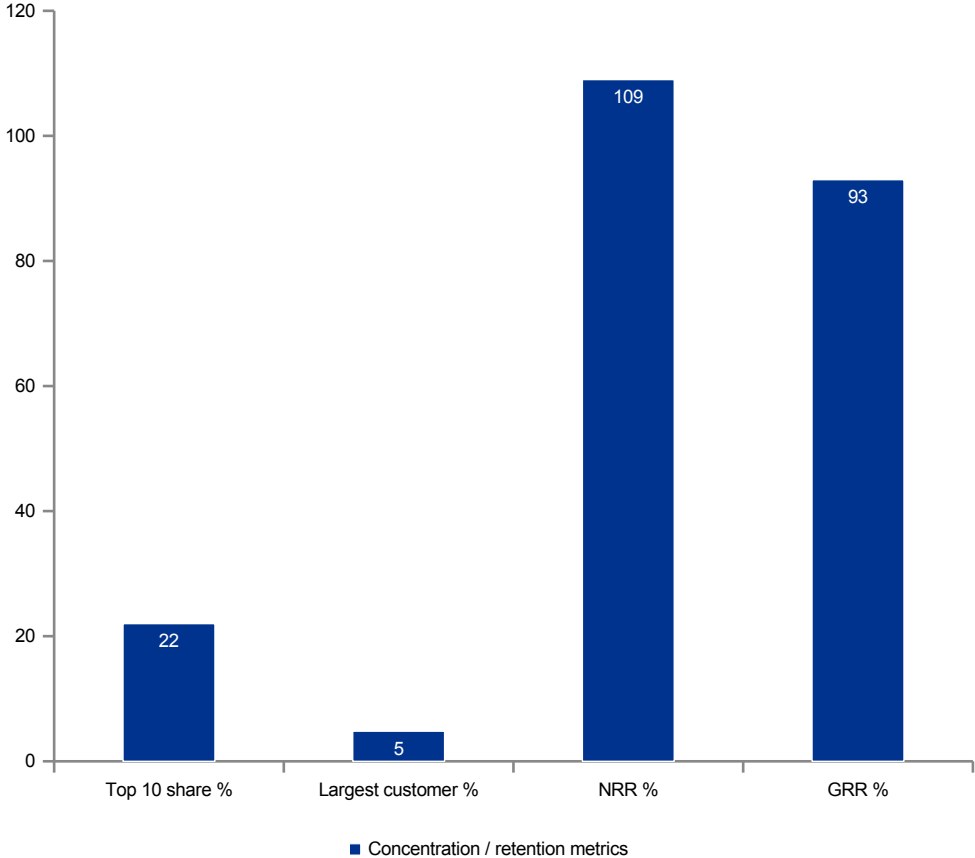
Customer concentration (FY25): top 10 customers ~22% of revenue; largest customer ~4.8% (management reporting; support pending to billing extract). This supports the commercial thesis, but forecast confidence depends on reconciling management metrics to billed and recognized revenue.

Retention (FY25): gross retention ~93%; net revenue retention ~109% driven by module expansion and regulatory-driven add-ons (management reporting; support pending). The related downside case should explicitly test conversion, churn, and pricing assumptions rather than extrapolating headline growth.

- Average subscription contract term ~2.3 years with annual billing; renewal calendar is weighted to Q4 due to legacy contract start dates. From a valuation perspective, durability is supported, yet final confidence requires contract-level and cohort-level tie-out.
- The risk implication is that concentration is moderate but still relevant for downside cases; largest 3 customers collectively drive ~12% of revenue and should be stressed in valuation sensitivity. The transaction relevance is high because revenue-quality assumptions directly drive both multiple support and debt capacity views.

Follow-up required: reconcile concentration metrics to invoicing data and confirm no undisclosed side letters impacting pricing or renewal terms. This is directionally favorable, but underwriting should still isolate structural growth from timing effects and one-off commercial factors.

- The transaction implication is that valuation and deal mechanics should rely on support-tested drivers and downside sensitivities, not headline run-rate alone. The key diligence objective is to convert these indicators into a reconciled revenue bridge that can support both valuation and covenant planning.



Source: management reporting (support pending to billing and cohort files)

Bookings, Backlog, and Pipeline

Summarize bookings, backlog, and implementation pipeline to support forward-looking revenue and margin considerations.

Metric	Value	Support status
FY24 bookings	USD 34m	Preliminary
FY25 bookings	USD 38m	Preliminary
Services backlog at Jun-26	USD 18m	Support pending
Backlog coverage of next 12 months services revenue	~60%	Support pending
Implementation cycle time	4.2 months FY25 vs 3.5 months FY23	Preliminary

Key takeaways

- Bookings increased from USD 34m in FY2024 to USD 38m in FY2025, indicating continued demand despite a more constrained implementation throughput. This supports the commercial thesis, but forecast confidence depends on reconciling management metrics to billed and recognized revenue.
- Backlog of approximately USD 18m provides near-term services visibility, but also signals execution dependency to convert backlog without margin pressure. The related downside case should explicitly test conversion, churn, and pricing assumptions rather than extrapolating headline growth.
- Longer implementation cycle times versus FY2023 suggest delivery friction that can defer revenue recognition and working-capital release. From a valuation perspective, durability is supported, yet final confidence requires contract-level and cohort-level tie-out.
- Forward forecasts should stress-test backlog burn assumptions against staffing mix and contractor reliance, not just pipeline headline values. The transaction relevance is high because revenue-quality assumptions directly drive both multiple support and debt capacity views.
- Required close-out support is a monthly bookings-to-billings-to-revenue bridge with consistent definitions and reconciliation controls. This is directionally favorable, but underwriting should still isolate structural growth from timing effects and one-off commercial factors.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

Revenue Recognition and Billing Mechanics

Document revenue recognition mechanics and billing terms, highlighting cut-off and contract accounting risks.

- SaaS subscriptions are primarily billed annually in advance, which is consistent with current deferred revenue of USD 38.0m at Jun-2026. This supports the commercial thesis, but forecast confidence depends on reconciling management metrics to billed and recognized revenue.
- Professional services are recognized on milestone completion; contract assets were USD 9.0m at Jun-2026 and therefore require delivery-status validation. The related downside case should explicitly test conversion, churn, and pricing assumptions rather than extrapolating headline growth.
- Operating NWC of USD -28.0m reflects billing mechanics and deferred revenue structure, not a deterioration in day-to-day operating liquidity. From a valuation perspective, durability is supported, yet final confidence requires contract-level and cohort-level tie-out.
- Preliminary QoE identifies a USD -0.6m services cut-off adjustment, highlighting that milestone timing can affect both earnings and peg outcomes. The transaction relevance is high because revenue-quality assumptions directly drive both multiple support and debt capacity views.
- Cut-off conclusions should be reconciled once across QoE and NWC workstreams to avoid double counting in purchase price negotiations. This is directionally favorable, but underwriting should still isolate structural growth from timing effects and one-off commercial factors.
- SPA drafting should explicitly define treatment of deferred revenue, contract assets, and milestone disputes for closing-account clarity. The key diligence objective is to convert these indicators into a reconciled revenue bridge that can support both valuation and covenant planning.

Profit & Loss Overview - Reported Trend

Present reported P&L trend as the baseline for QoE normalization and valuation analysis.

Line item	FY2023	FY2024	FY2025	TTM Jun-2026
Revenue	125.0	142.0	160.0	168.0
COGS	45.0	51.0	57.0	60.0
Gross Profit	80.0	91.0	103.0	108.0
Total Operating Expenses (ex D&A)	58.0	67.0	76.0	79.0
Reported EBITDA	22.0	24.0	27.0	29.0
Depreciation & Amortization	6.0	7.0	8.0	9.0
Operating Income (EBIT)	16.0	17.0	19.0	20.0
Net Income	9.0	9.8	11.6	12.4

Key takeaways

- Revenue expanded to USD 168.0m in TTM Jun-2026 while gross margin remained stable, indicating topline scale without material gross profitability deterioration. This indicates an invest-and-scale earnings profile, so normalization quality matters more than simple period-over-period optics.
- EBITDA growth to USD 29.0m reflects operating leverage at absolute dollar level, but margin stability indicates ongoing reinvestment in growth and platform capacity. The valuation implication is that sustainable earnings should be anchored to policy-consistent run-rate economics, not transitory accounting effects.
- Rising D&A is consistent with increasing capitalized software and finite-lived intangible amortization, which should be incorporated into cash conversion interpretation. This trend is constructive, but any policy-sensitive lines should be closed with documentary support before finalizing EBITDA assumptions.
- The reported trend is a strong baseline, but policy-sensitive areas remain the main source of normalization risk rather than core demand weakness. From a deal standpoint, this should be stress-tested in downside cases that combine slower growth with less favorable cost absorption.
- Valuation should reference normalized outcomes only after final support testing on cut-off, capitalization, and discrete non-recurring costs. The earnings signal is credible, provided recurring cost classification and one-time item treatment are applied consistently across periods.



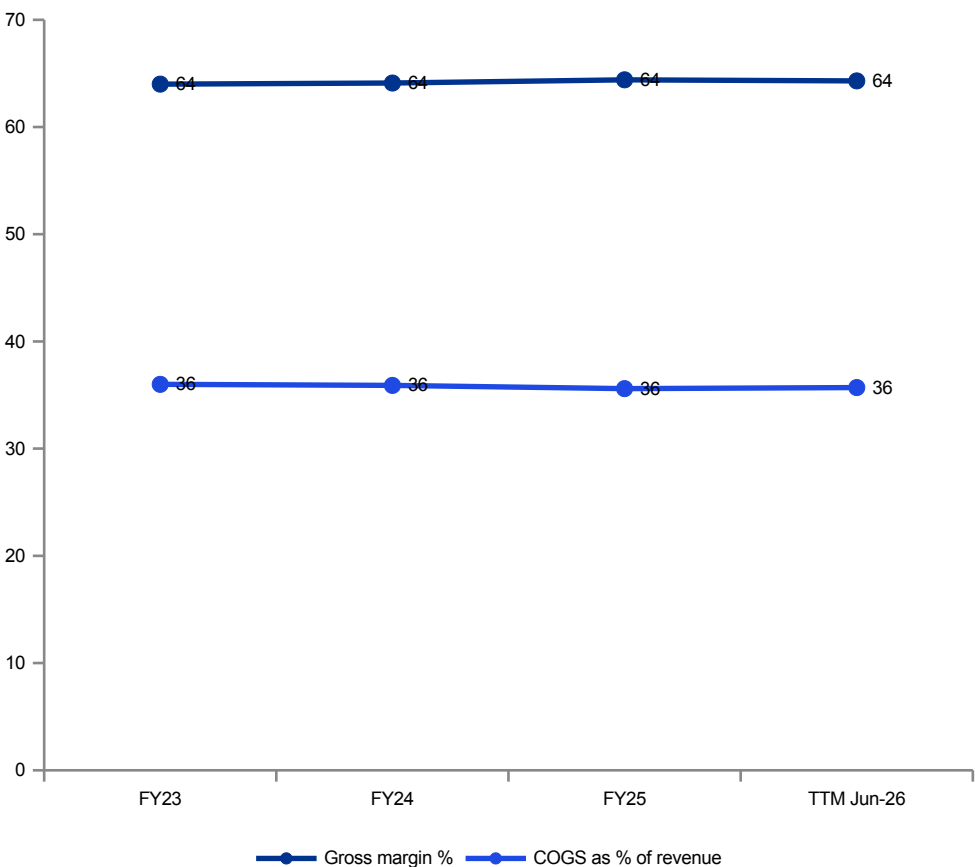
[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

Gross Margin Drivers

Explain gross margin stability and isolate the drivers (mix, hosting efficiency, services utilization) that affect sustainable EBITDA.

- [CHART PLACEHOLDER] This visual should anchor the quantitative bridge on the page and be tied directly to source schedules before circulation.
- Blended gross margin remained stable at ~64% from FY23 through TTM Jun-26 (FY25: 64.4%; TTM: 64.3%). This indicates an invest-and-scale earnings profile, so normalization quality matters more than simple period-over-period optics.
- Subscription gross margin is estimated at ~78% (hosting and customer success costs), while services gross margin is estimated at ~33% (labor utilization-driven) (management reporting; support pending). The valuation implication is that sustainable earnings should be anchored to policy-consistent run-rate economics, not transitory accounting effects.
- Hosting costs increased with customer count, but unit economics improved modestly due to cloud-commitment discounts (support pending to invoices). This trend is constructive, but any policy-sensitive lines should be closed with documentary support before finalizing EBITDA assumptions.
- Services margin is sensitive to subcontractor use and project delays; contractor usage increased in FY25 to address backlog (linked to QoE adjustment QA07). From a deal standpoint, this should be stress-tested in downside cases that combine slower growth with less favorable cost absorption.
- The transaction implication is that downside sensitivity should assume either flat subscription margin with services variability, or a partial unwind of cloud discounts at renewal. The earnings signal is credible, provided recurring cost classification and one-time item treatment are applied consistently across periods.

Follow-up required: complete source tie-out for the metrics on this page before converting preliminary conclusions into final deal positions. This should feed directly into the valuation model as an evidence-backed margin case rather than a purely extrapolated trend assumption.



Source: financials-income-statement.csv

Operating Expense Breakdown

Decompose operating expenses to explain EBITDA margin trajectory and identify normalization considerations.

Opex line	FY2023	FY2024	FY2025	TTM Jun-2026	% Revenue (TTM)
Sales & Marketing	28.0	33.0	38.0	39.0	23.2%
Research & Development	17.0	19.0	21.0	22.0	13.1%
General & Administrative	13.0	15.0	17.0	18.0	10.7%
Total opex (ex D&A)	58.0	67.0	76.0	79.0	47.0%

Key takeaways

- Total operating expenses increased with revenue, and the spending mix indicates intentional growth investment rather than uncontrolled cost expansion. This indicates an invest-and-scale earnings profile, so normalization quality matters more than simple period-over-period optics.
- S&M intensity remained near 23% of revenue, suggesting commercial capacity buildout has been broadly proportional to scale. The valuation implication is that sustainable earnings should be anchored to policy-consistent run-rate economics, not transitory accounting effects.
- R&D spend plus capitalized development indicates sustained product investment; treatment consistency is therefore more important than absolute level alone. This trend is constructive, but any policy-sensitive lines should be closed with documentary support before finalizing EBITDA assumptions.
- G&A includes both structural platform costs and discrete items, requiring careful separation to avoid over- or under-normalization. From a deal standpoint, this should be stress-tested in downside cases that combine slower growth with less favorable cost absorption.
- The EBITDA case is most sensitive to classification quality in opex lines, not to a broad structural margin break in the reported model. The earnings signal is credible, provided recurring cost classification and one-time item treatment are applied consistently across periods.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

Sales and Marketing Efficiency

Assess sales efficiency and scalability of growth (CAC payback, pipeline conversion) and identify risks to forward run-rate.

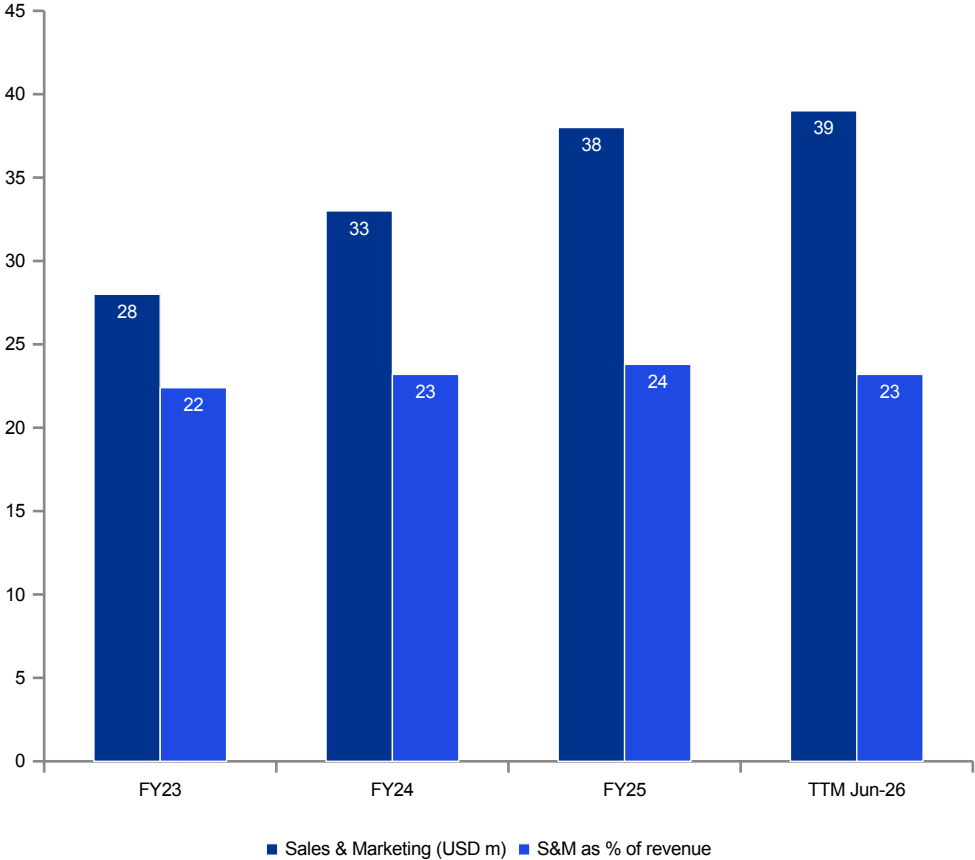
- [CHART PLACEHOLDER] This visual should anchor the quantitative bridge on the page and be tied directly to source schedules before circulation.
- S&M spend remained ~22-23% of revenue, while revenue growth moderated from +13.6% (FY24) to +12.7% (FY25) and +5.0% (TTM vs FY25). This indicates an invest-and-scale earnings profile, so normalization quality matters more than simple period-over-period optics.

Management KPIs (preliminary): CAC payback ~20-24 months; net new ARR in FY25 ~USD 16m; pipeline conversion ~22% from qualified to closed-won (support pending). The valuation implication is that sustainable earnings should be anchored to policy-consistent run-rate economics, not transitory accounting effects.

- Sales capacity expanded in FY24-FY25 (headcount additions), driving near-term opex pressure ahead of ARR realization. This trend is constructive, but any policy-sensitive lines should be closed with documentary support before finalizing EBITDA assumptions.
- The transaction implication is that base-case assumes continued ARR expansion; downside case should incorporate lower conversion or elongated sales cycles without immediate opex step-down. From a deal standpoint, this should be stress-tested in downside cases that combine slower growth with less favorable cost absorption.

Diligence ask: tie CRM bookings/pipeline to invoicing and confirm definition consistency for CAC and payback metrics. The earnings signal is credible, provided recurring cost classification and one-time item treatment are applied consistently across periods.

Follow-up required: complete source tie-out for the metrics on this page before converting preliminary conclusions into final deal positions. This should feed directly into the valuation model as an evidence-backed margin case rather than a purely extrapolated trend assumption.



Source: financials-income-statement.csv; management KPI commentary

R&D Spend and Capitalization

Evaluate R&D investment and capitalization practices to support product roadmap and assess normalization risk.

R&D and capitalization metric	FY2023	FY2024	FY2025	TTM Jun-2026
Expensed R&D (USD m)	17.0	19.0	21.0	22.0
Capitalized software development cash outflow (USD m)	4.0	4.5	5.0	4.5
Implied capitalization rate	-	-	-	17.0%

Key takeaways

- The implied development capitalization rate in TTM Jun-2026 is elevated enough to warrant policy-level testing and project-level support tie-out. This indicates an invest-and-scale earnings profile, so normalization quality matters more than simple period-over-period optics.
- Capitalization decisions affect both current EBITDA and future amortization burden, so valuation impact extends beyond a single period adjustment. The valuation implication is that sustainable earnings should be anchored to policy-consistent run-rate economics, not transitory accounting effects.
- Management attributes higher capitalization to platform re-architecture; this rationale must be validated against eligibility rules and time records. This trend is constructive, but any policy-sensitive lines should be closed with documentary support before finalizing EBITDA assumptions.
- QoE downside is concentrated in policy consistency, not in whether development spend itself is economically required. From a deal standpoint, this should be stress-tested in downside cases that combine slower growth with less favorable cost absorption.
- Required evidence is a full capitalization rollforward linked to project scopes, effort tracking, and amortization start dates. The earnings signal is credible, provided recurring cost classification and one-time item treatment are applied consistently across periods.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

G&A Trend and Non-recurring Items

Explain G&A trend and separate structural cost base from non-recurring items relevant to normalized earnings.

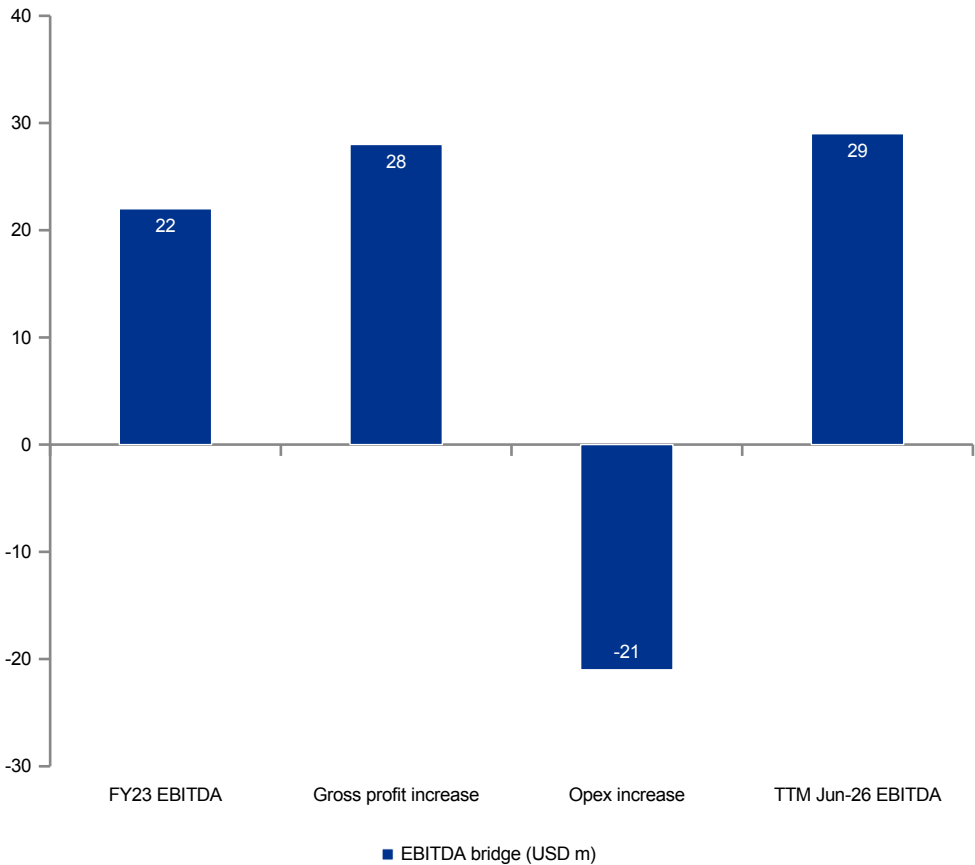
- G&A increased from USD 13.0m in FY2023 to USD 18.0m in TTM Jun-2026 as governance and support functions scaled with the platform. This indicates an invest-and-scale earnings profile, so normalization quality matters more than simple period-over-period optics.
- The reported line includes both structural overhead and discrete charges linked to ERP transition, transaction activity, and legal matters. The valuation implication is that sustainable earnings should be anchored to policy-consistent run-rate economics, not transitory accounting effects.
- Process friction during ERP migration has increased manual review effort in accrual and classification areas. This trend is constructive, but any policy-sensitive lines should be closed with documentary support before finalizing EBITDA assumptions.
- As a result, headline G&A trend alone is not sufficient to infer sustainable run-rate cost structure. From a deal standpoint, this should be stress-tested in downside cases that combine slower growth with less favorable cost absorption.
- Normalization requires item-level support to separate one-time activity from true steady-state corporate cost. The earnings signal is credible, provided recurring cost classification and one-time item treatment are applied consistently across periods.
- QoE treatment should remove discrete items while preserving recurring capability spend needed to operate as a scaled software platform. This indicates an invest-and-scale earnings profile, so normalization quality matters more than simple period-over-period optics.
- Under-adjusting non-recurring costs understates value; over-adjusting structural overhead overstates sustainable EBITDA. The valuation implication is that sustainable earnings should be anchored to policy-consistent run-rate economics, not transitory accounting effects.
- Post-close planning should assume incremental compliance and controls spend rather than a full reversion to FY2023 corporate cost ratios. This trend is constructive, but any policy-sensitive lines should be closed with documentary support before finalizing EBITDA assumptions.
- The cleanest path is a reconciled G&A bridge from GL detail to QoE adjustments with explicit policy and ownership notes. From a deal standpoint, this should be stress-tested in downside cases that combine slower growth with less favorable cost absorption.
- Decision-useful output requires parallel validation of allocation logic, one-time tagging, and period-of-benefit assumptions. The earnings signal is credible, provided recurring cost classification and one-time item treatment are applied consistently across periods.

Reported EBITDA Walkthrough

Bridge EBITDA movement from FY23 to TTM Jun-26 to identify the primary operational drivers of profitability.

- [CHART PLACEHOLDER] This visual should anchor the quantitative bridge on the page and be tied directly to source schedules before circulation.
- Reported EBITDA increased by USD 7.0m from FY23 (USD 22.0m) to TTM Jun-26 (USD 29.0m). This indicates an invest-and-scale earnings profile, so normalization quality matters more than simple period-over-period optics.
- Gross profit increased by USD 28.0m over the same period (FY23 USD 80.0m to TTM USD 108.0m), driven by revenue growth at stable gross margin. The valuation implication is that sustainable earnings should be anchored to policy-consistent run-rate economics, not transitory accounting effects.
- Opex (ex D&A) increased by USD 21.0m (FY23 USD 58.0m to TTM USD 79.0m), reflecting investment in sales capacity and product development. This trend is constructive, but any policy-sensitive lines should be closed with documentary support before finalizing EBITDA assumptions.
- The key interpretation is that EBITDA growth is volume-led, but margin stability indicates incremental gross profit is being reinvested rather than fully dropping to EBITDA. From a deal standpoint, this should be stress-tested in downside cases that combine slower growth with less favorable cost absorption.
- The transaction implication is that normalized EBITDA should focus on removing discrete, non-recurring costs rather than assuming structural margin expansion. The earnings signal is credible, provided recurring cost classification and one-time item treatment are applied consistently across periods.

Follow-up required: complete source tie-out for the metrics on this page before converting preliminary conclusions into final deal positions. This should feed directly into the valuation model as an evidence-backed margin case rather than a purely extrapolated trend assumption.



Source: financials-income-statement.csv (derived bridge)

Stratified Balance Sheet Overview

Provide a stratified balance sheet view to identify working capital drivers, debt-like items, and capital intensity.

Balance sheet line	FY2023	FY2024	FY2025	TTM Jun-2026
Cash	12.0	10.0	11.0	13.0
Accounts Receivable	22.0	25.0	27.0	28.0
Contract Assets (Unbilled Receivables)	6.0	7.0	8.0	9.0
Deferred Revenue (Current)	28.0	32.0	36.0	38.0
Term Debt	50.0	45.0	40.0	38.0
Lease Liabilities	4.0	4.0	4.0	4.0
Total Assets	153.0	155.0	160.0	163.0
Total Liabilities	114.0	117.0	119.0	121.0
Total Equity	39.0	38.0	41.0	42.0

Key takeaways

- The balance sheet mix highlights a software platform profile with meaningful intangibles and contract-liability-driven working-capital dynamics. From a deal-mechanics perspective, classification consistency across debt-like, operating, and one-time items is critical to avoid value leakage.
- Deferred revenue scale is a core operating characteristic and should be treated consistently as operating in both valuation and peg frameworks. The key transaction task is to align legal and finance treatment so EV-to-equity and closing-account bridges reconcile cleanly.
- Debt and lease balances are clear, while accrual-detail categories remain the primary source of debt-like classification uncertainty. This supports baseline balance-sheet capacity, but close certainty depends on account-level support for reserves and accrual classifications.
- Intangible asset concentration increases dependence on disciplined capitalization and impairment governance. The practical implication is that definition quality can influence economics as much as absolute balance movement in the bridge.
- Transaction analysis should focus on classification precision and support quality rather than broad balance-sheet capacity concerns. This should be evaluated alongside SPA drafting to ensure accounting conclusions and contractual mechanics are economically consistent.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

Operating Working Capital Profile

Explain the operating working capital profile and isolate the components that drive variability and peg risk.

Operating NWC component	FY2023	FY2024	FY2025	TTM Jun-2026
Accounts Receivable	22.0	25.0	27.0	28.0
Contract Assets (Unbilled Receivables)	6.0	7.0	8.0	9.0
Prepays & Other Current Assets	4.0	4.0	5.0	5.0
Accounts Payable	9.0	10.0	11.0	12.0
Accrued Expenses	7.0	8.0	9.0	9.0
Accrued Compensation	6.0	7.0	8.0	8.0
Deferred Revenue (Current)	28.0	32.0	36.0	38.0
Other Current Liabilities	3.0	3.0	3.0	3.0
Operating NWC (assets - liabilities)	-21.0	-24.0	-27.0	-28.0

Key takeaways

- Operating NWC has become more negative over time, which is structurally supportive for cash conversion in this billing model. From a deal-mechanics perspective, classification consistency across debt-like, operating, and one-time items is critical to avoid value leakage.
- AR and contract assets have scaled with revenue, so collectability and milestone discipline remain the key quality checks. The key transaction task is to align legal and finance treatment so EV-to-equity and closing-account bridges reconcile cleanly.
- Deferred revenue expansion explains most of the negative NWC profile and should not be interpreted as a short-term liquidity issue. This supports baseline balance-sheet capacity, but close certainty depends on account-level support for reserves and accrual classifications.
- Because the peg is negative, classification and cut-off errors can create disproportionate purchase-price impact. The practical implication is that definition quality can influence economics as much as absolute balance movement in the bridge.
- A monthly reconciled NWC schedule is required to separate structural billing effects from temporary period-end noise. This should be evaluated alongside SPA drafting to ensure accounting conclusions and contractual mechanics are economically consistent.



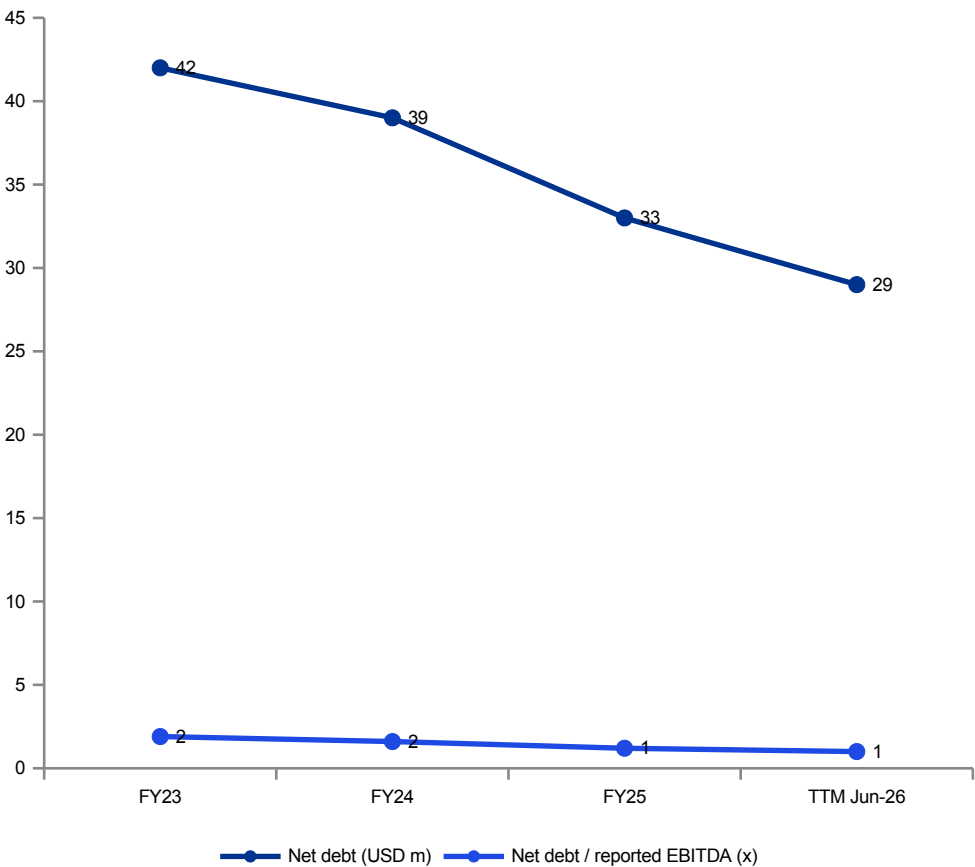
[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

Net Debt and Leverage

Summarize net debt, leverage, and covenant headroom to support valuation and financing discussions.

- [CHART PLACEHOLDER] This visual should anchor the quantitative bridge on the page and be tied directly to source schedules before circulation.
- Net debt declined from USD 42.0m (FY23) to USD 29.0m (Jun-26) as term debt amortized and cash stabilized. From a deal-mechanics perspective, classification consistency across debt-like, operating, and one-time items is critical to avoid value leakage.
- Leverage at Jun-26 is ~1.0x net debt / reported EBITDA and ~0.9x net debt / normalized EBITDA (preliminary). The key transaction task is to align legal and finance treatment so EV-to-equity and closing-account bridges reconcile cleanly.
- Debt terms (management-provided; support pending): senior term loan with maturity in 2029; variable rate (SOFR + ~3.25%). This supports baseline balance-sheet capacity, but close certainty depends on account-level support for reserves and accrual classifications.
- The transaction implication is that financing capacity appears available, but buyer should stress normalized EBITDA downside case and ensure debt-like items are captured consistently with SPA. The practical implication is that definition quality can influence economics as much as absolute balance movement in the bridge.

Data request: debt agreement, covenant definitions, and quarterly covenant calculations through Jun-26. This should be evaluated alongside SPA drafting to ensure accounting conclusions and contractual mechanics are economically consistent.



Source: financials-balance-sheet-stratified.csv and financials-income-statement.csv

EBITDA-to-Cash Conversion

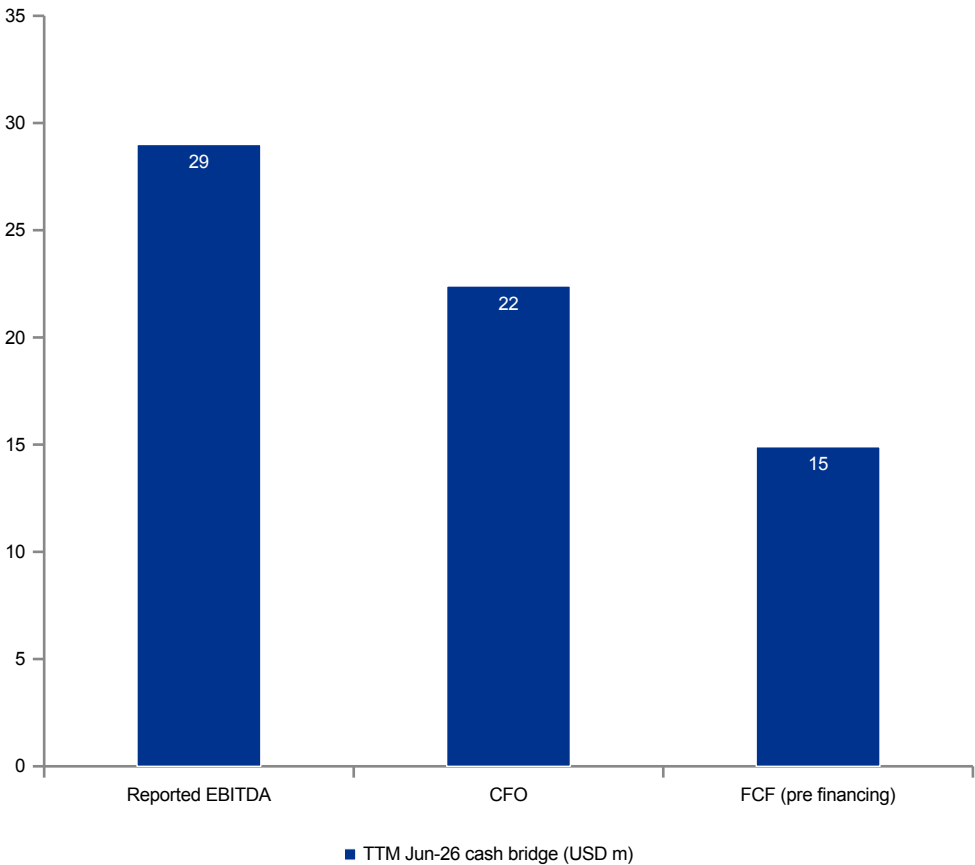
Bridge EBITDA to cash conversion and identify key cash drivers relevant to valuation and debt sizing.

- [CHART PLACEHOLDER] This visual should anchor the quantitative bridge on the page and be tied directly to source schedules before circulation.
- TTM Jun-26 CFO was USD 22.4m on reported EBITDA of USD 29.0m (~77% cash conversion). From a deal-mechanics perspective, classification consistency across debt-like, operating, and one-time items is critical to avoid value leakage.
- TTM investing cash outflows were USD 10.5m, including PP&E capex USD 3.0m and capitalized software development USD 4.5m. The key transaction task is to align legal and finance treatment so EV-to-equity and closing-account bridges reconcile cleanly.
- Free cash flow before financing/distributions was ~USD 14.9m (CFO USD 22.4m less capex/cap dev USD 7.5m). This supports baseline balance-sheet capacity, but close certainty depends on account-level support for reserves and accrual classifications.

Cash flow sensitivity: deferred revenue growth is a meaningful cash tailwind; if growth slows, cash conversion may revert toward 65-75% absent opex step-down. The practical implication is that definition quality can influence economics as much as absolute balance movement in the bridge.

- The transaction implication is that debt sizing should consider a cash conversion range and capex/cap dev requirements to sustain ARR growth. This should be evaluated alongside SPA drafting to ensure accounting conclusions and contractual mechanics are economically consistent.

Follow-up required: complete source tie-out for the metrics on this page before converting preliminary conclusions into final deal positions. The principal risk is not balance-sheet scale alone, but inconsistent treatment of ambiguous accounts across deal workstreams.



Source: financials-cashflow-bridge.csv

Capitalized Software and Intangibles

Explain capital intensity and intangible asset profile, including any impairment or capitalization risks relevant to valuation.

Asset / expense line	FY2023	FY2024	FY2025	TTM Jun-2026
Capitalized Software (net)	14.0	16.0	18.0	19.0
Other Intangibles (net)	25.0	22.0	19.0	17.0
Goodwill	60.0	60.0	60.0	60.0
Depreciation & Amortization	6.0	7.0	8.0	9.0

Key takeaways

- Net capitalized software growth supports the product roadmap narrative but also increases sensitivity to capitalization-policy consistency. From a deal-mechanics perspective, classification consistency across debt-like, operating, and one-time items is critical to avoid value leakage.
- Declining finite-lived intangibles are consistent with amortization run-off and should be reflected in forward operating-cash assumptions. The key transaction task is to align legal and finance treatment so EV-to-equity and closing-account bridges reconcile cleanly.
- Stable goodwill does not eliminate impairment risk; it shifts focus to forecast support and policy governance. This supports baseline balance-sheet capacity, but close certainty depends on account-level support for reserves and accrual classifications.
- The reported capital profile is not inherently adverse, but policy execution quality directly influences normalized EBITDA conclusions. The practical implication is that definition quality can influence economics as much as absolute balance movement in the bridge.
- Priority support is project-level capitalization eligibility, useful-life assumptions, and impairment testing documentation. This should be evaluated alongside SPA drafting to ensure accounting conclusions and contractual mechanics are economically consistent.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

Debt-like Items and EV-to-Equity Bridge

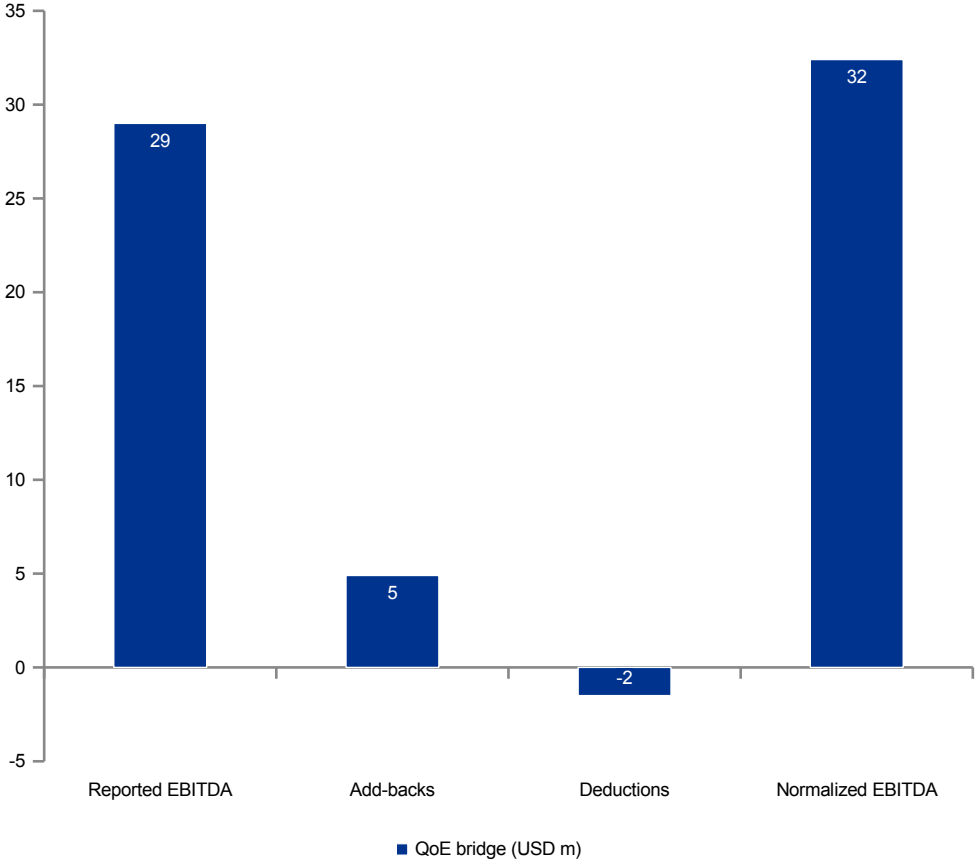
Identify debt-like items and balance sheet topics that influence enterprise value to equity value bridge and SPA definitions.

- Jun-2026 balance sheet debt items include term debt of USD 38.0m and lease liabilities of USD 4.0m, with net debt at USD 29.0m. From a deal-mechanics perspective, classification consistency across debt-like, operating, and one-time items is critical to avoid value leakage.
 - Deferred revenue totals USD 46.0m (current plus non-current) and represents an operating contract liability, not financing debt. The key transaction task is to align legal and finance treatment so EV-to-equity and closing-account bridges reconcile cleanly.
 - Potential debt-like classifications include specific litigation reserves, one-time ERP payable balances, and transaction-linked accruals. This supports baseline balance-sheet capacity, but close certainty depends on account-level support for reserves and accrual classifications.
 - Several items currently reside in broad accrual categories and require schedule-level disaggregation for treatment certainty. The practical implication is that definition quality can influence economics as much as absolute balance movement in the bridge.
 - Absent clarity, EV-to-equity math can be distorted by inconsistent classification between debt-like and peg buckets. This should be evaluated alongside SPA drafting to ensure accounting conclusions and contractual mechanics are economically consistent.
- SPA definitions should explicitly separate operating liabilities from debt-like obligations and transaction-specific settlements. From a deal-mechanics perspective, classification consistency across debt-like, operating, and one-time items is critical to avoid value leakage.
 - Deferred revenue treatment must stay consistent with peg mechanics to prevent double counting of the same economic obligation. The key transaction task is to align legal and finance treatment so EV-to-equity and closing-account bridges reconcile cleanly.
 - High-risk accrual balances should be tied to named schedules, expected settlement paths, and ownership for pre-close resolution. This supports baseline balance-sheet capacity, but close certainty depends on account-level support for reserves and accrual classifications.
 - Valuation and purchase-price mechanics should be signed off only after definitions are tested against a pro forma closing statement. The practical implication is that definition quality can influence economics as much as absolute balance movement in the bridge.
- Recommended data ask:** full accrued-expense rollforward with legal, ERP, compensation, and tax components split out. This should be evaluated alongside SPA drafting to ensure accounting conclusions and contractual mechanics are economically consistent.

QoE Bridge - Reported to Normalized EBITDA

Bridge reported EBITDA to normalized EBITDA and summarize the main adjustment themes with support status.

- [CHART PLACEHOLDER] This visual should anchor the quantitative bridge on the page and be tied directly to source schedules before circulation.
- TTM Jun-26 reported EBITDA:** USD 29.0m (17.3% margin). This should remain preliminary until source support is complete and SPA treatment is aligned with the working-capital bridge.
- Identified adjustments (net):** +USD 3.4m across 13 items; preliminary normalized EBITDA: USD 32.4m (19.3% margin). The transaction consequence is that valuation should stay range-based until this item is substantiated, resized, or removed.
- Largest add-backs:** ERP integration costs (QA01 +1.2), restructuring/severance (QA02 +0.8), transaction advisory fees (QA04 +0.7). This is a high-leverage diligence point because timing and policy judgments can move both normalized EBITDA and purchase-price mechanics.
- Largest deductions:** services revenue cut-off (QA11 -0.6), excess capitalization of development costs (QA12 -0.4), insurance proceeds removal (QA10 -0.3). The prudent approach is to lock one-point treatment only after documentary tie-out confirms scope, period, and recurring status.
- Support status indicates that ~4 adjustments supported, ~4 pending, remainder partial; valuation should be based on normalized range until pending items are resolved. This adjustment should be reconciled to primary support before being embedded into debt sizing, covenant headroom, or final purchase-price math.
 - The transaction implication is that valuation and deal mechanics should rely on support-tested drivers and downside sensitivities, not headline run-rate alone. The commercial objective is to resolve this item once and carry that treatment consistently through valuation and closing-account schedules.
- Follow-up required:** complete source tie-out for the metrics on this page before converting preliminary conclusions into final deal positions. This should remain preliminary until source support is complete and SPA treatment is aligned with the working-capital bridge.



Source: qoe-adjustments.csv and financials-income-statement.csv

QoE Adjustments Register

Provide a complete register of identified QoE adjustments, including recurring flag, support status, and transaction relevance.

ID	Adjustment	Amount (USD m)	Recurring	Support
QA01	ERP implementation and systems integration costs	+1.2	N	supported
QA02	Restructuring and severance (customer success consolidation)	+0.8	N	partial
QA03	Non-recurring legal settlement and outside counsel	+0.5	N	pending
QA04	Transaction-related advisory fees (sell-side and financing)	+0.7	N	supported
QA05	Data security remediation and customer credits	+0.4	N	partial
QA06	Change-in-control retention bonuses	+0.3	N	supported
QA07	Temporary contractors to clear implementation backlog	+0.5	N	partial
QA08	Bad debt spike on one distressed customer	+0.3	N	supported
QA09	Related-party hosting markup above market	+0.2	Y	pending
QA10	Insurance proceeds recorded in other income	-0.3	N	supported
QA11	Milestone services revenue recognized before delivery	-0.6	N	pending
QA12	Software development capitalization above policy baseline	-0.4	Y	pending
QA13	Under-accrual of annual SaaS platform fees	-0.2	Y	partial

Key takeaways

- The register totals +USD 3.4m net, with add-backs of USD 4.9m and deductions of USD -1.5m; both sides are material to the final valuation base. This should remain preliminary until source support is complete and SPA treatment is aligned with the working-capital bridge.
- Pending or partial support remains concentrated in high-impact policy and timing items, not only in smaller one-off costs. The transaction consequence is that valuation should stay range-based until this item is substantiated, resized, or removed.
- Recurring-type adjustments (for example hosting, capitalization policy, and vendor accrual normalization) should flow into forward run-rate assumptions. This is a high-leverage diligence point because timing and policy judgments can move both normalized EBITDA and purchase-price mechanics.
- Discrete non-recurring items should be excluded from sustainable earnings but tracked for closing-account and debt-like interactions. The prudent approach is to lock one-point treatment only after documentary tie-out confirms scope, period, and recurring status.
- Final QoE confidence requires line-by-line evidence tie-out to GL detail, contracts, and delivery support before converting from range to point estimate. This adjustment should be reconciled to primary support before being embedded into debt sizing, covenant headroom, or final purchase-price math.



TABLE IMAGE PLACEHOLDER. KPMG LLP, a U.S. member firm of the member firms of the KPMG network, which is a Swiss entity. Source: management-provided information and KPMG analysis (simulated).

QoE Detail - ERP Integration Costs

Deep-dive the ERP integration adjustment: quantify costs, confirm one-time nature, and describe residual risks.

Item	Value	Notes
Adjustment ID	QA01	ERP implementation and systems integration costs
Amount (USD m)	+1.2	TTM Jun-2026
Support status	supported	Primary cost support available; finalize full tie-out
Recurring flag	N	Expected non-recurring post go-live

Key takeaways

- QA01 is a significant one-time add-back and is directionally supportable based on ERP rollout context and go-live timing. This should remain preliminary until source support is complete and SPA treatment is aligned with the working-capital bridge.
- The key diligence question is residual spend tail: stabilization and automation work may continue even after primary implementation. The transaction consequence is that valuation should stay range-based until this item is substantiated, resized, or removed.
- Classification risk exists if any ERP costs were capitalized inconsistently or embedded in other operating lines. This is a high-leverage diligence point because timing and policy judgments can move both normalized EBITDA and purchase-price mechanics.
- Valuation should treat the identified amount as non-recurring only to the extent post-go-live spend is demonstrably non-structural. The prudent approach is to lock one-point treatment only after documentary tie-out confirms scope, period, and recurring status.
- Required support includes vendor statements of work, invoices, and project-level cost-center reconciliation. This adjustment should be reconciled to primary support before being embedded into debt sizing, covenant headroom, or final purchase-price math.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

QoE Detail - Restructuring and Retention

Deep-dive restructuring and retention adjustments: quantify costs and validate that savings are not already embedded in run-rate.

ID	Description	Amount (USD m)	Support
QA02	Restructuring and severance (customer success consolidation)	+0.8	partial
QA06	Change-in-control retention bonuses	+0.3	supported
QA07	Temporary contractors to clear implementation backlog	+0.5	partial

Key takeaways

- Restructuring and retention adjustments are material in aggregate and require confirmation of timing and true one-time character. This should remain preliminary until source support is complete and SPA treatment is aligned with the working-capital bridge.
- Any claimed run-rate savings should be tested against current service capacity and contractor substitution patterns. The transaction consequence is that valuation should stay range-based until this item is substantiated, resized, or removed.
- If savings are already embedded in TTM performance, additional normalization could overstate sustainable EBITDA. This is a high-leverage diligence point because timing and policy judgments can move both normalized EBITDA and purchase-price mechanics.
- Retention and severance items can also influence debt-like or closing-account treatment depending on payment timing. The prudent approach is to lock one-point treatment only after documentary tie-out confirms scope, period, and recurring status.
- Evidence closure requires HR records, payroll support, and bridge schedules from announced actions to realized cost run-rate. This adjustment should be reconciled to primary support before being embedded into debt sizing, covenant headroom, or final purchase-price math.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

QoE Detail - Legal and Insurance Items

Deep-dive legal and insurance items to ensure sustainable EBITDA excludes discrete matters and does not embed one-time gains/losses.

ID	Description	Amount (USD m)	Support
QA03	Non-recurring legal settlement and outside counsel	+0.5	pending
QA10	Insurance proceeds recorded in other income	-0.3	supported

Key takeaways

- QA03 and QA10 both represent discrete legal or insurance effects and should not be extrapolated into forward operating assumptions. This should remain preliminary until source support is complete and SPA treatment is aligned with the working-capital bridge.
- QA03 remains pending, so legal support quality is the gating item for treating the charge as truly non-recurring. The transaction consequence is that valuation should stay range-based until this item is substantiated, resized, or removed.
- QA10 is a non-recurring gain and should be removed from normalized earnings to avoid overstating sustainable profitability. This is a high-leverage diligence point because timing and policy judgments can move both normalized EBITDA and purchase-price mechanics.

Legal topics carry dual impact: EBITDA normalization and potential debt-like or indemnity exposure. The prudent approach is to lock one-point treatment only after documentary tie-out confirms scope, period, and recurring status.

- Close readiness requires a consolidated legal matters schedule tied to accounting entries and expected settlement outcomes. This adjustment should be reconciled to primary support before being embedded into debt sizing, covenant headroom, or final purchase-price math.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

QoE Detail - Cut-off and Capitalization Policy

Deep-dive timing and policy normalizations (cut-off and capitalization) that can materially affect both EBITDA and working capital.

ID	Description	Amount (USD m)	Support
QA11	Milestone services revenue recognized before delivery	-0.6	pending
QA12	Software development capitalization above policy baseline	-0.4	pending
QA13	Under-accrual of annual SaaS platform fees	-0.2	partial

Key takeaways

- Cut-off and capitalization adjustments are high-sensitivity because they can move both EBITDA and working-capital conclusions. This should remain preliminary until source support is complete and SPA treatment is aligned with the working-capital bridge.
- Services cut-off support should be based on delivery evidence, not solely milestone invoicing status. The transaction consequence is that valuation should stay range-based until this item is substantiated, resized, or removed.
- Capitalization normalization must be anchored to policy application and effort-tracking evidence across major projects. This is a high-leverage diligence point because timing and policy judgments can move both normalized EBITDA and purchase-price mechanics.
- Under-accrued platform fees indicate run-rate expense alignment risk even where one-off adjustments appear modest. The prudent approach is to lock one-point treatment only after documentary tie-out confirms scope, period, and recurring status.
- These items should be resolved in a single integrated framework to prevent duplicate or contradictory adjustments across workstreams. This adjustment should be reconciled to primary support before being embedded into debt sizing, covenant headroom, or final purchase-price math.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

Normalized EBITDA Sensitivity and Open Items

Present sensitivity of normalized EBITDA to key open items and define the diligence close plan for support-pending adjustments.

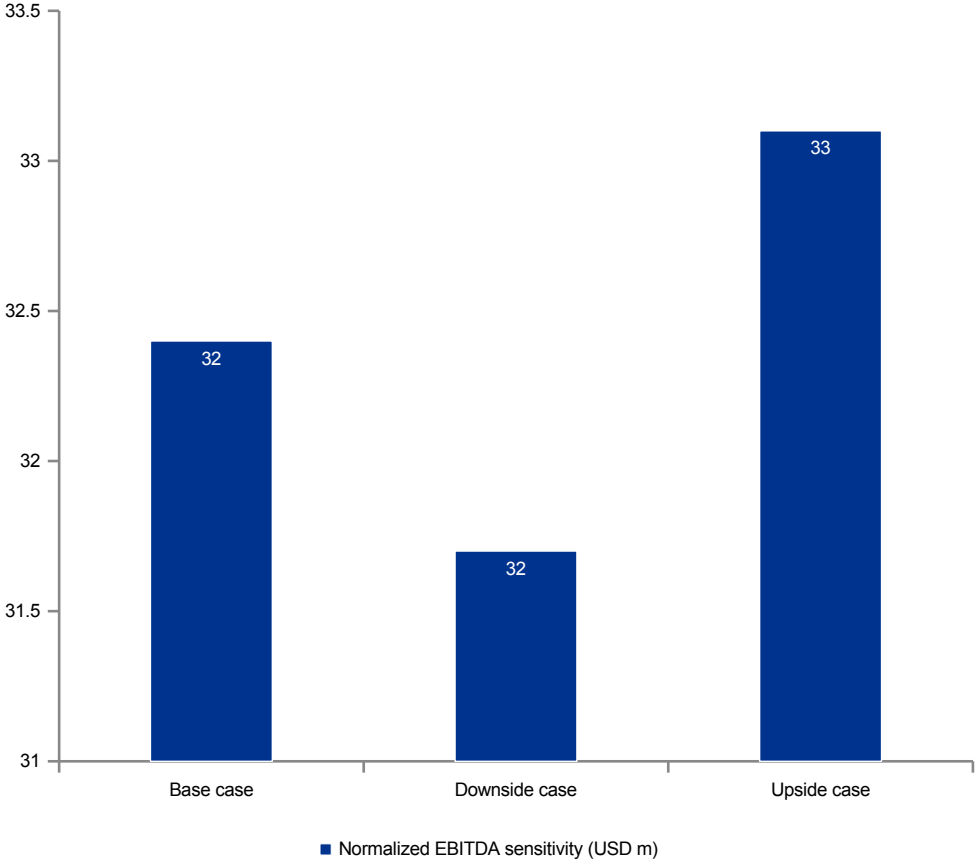
- [CHART PLACEHOLDER] This visual should anchor the quantitative bridge on the page and be tied directly to source schedules before circulation.
- Pending QoE items (QA03, QA09, QA11, QA12) represent ~USD 1.7m of gross adjustment magnitude; net impact is ~USD -0.3m. This should remain preliminary until source support is complete and SPA treatment is aligned with the working-capital bridge.

Base-case normalized EBITDA: USD 32.4m; illustrative downside case (if QA11/QA12 confirmed but QA03/QA09 not supported) approximates ~USD 31.7m (assumption). The transaction consequence is that valuation should stay range-based until this item is substantiated, resized, or removed.

Sensitivity drivers: (i) milestone delivery evidence for QA11, (ii) capitalization policy compliance for QA12, (iii) legal settlement documentation for QA03, (iv) related-party contract terms for QA09. This is a high-leverage diligence point because timing and policy judgments can move both normalized EBITDA and purchase-price mechanics.

- The transaction implication is that valuation and debt sizing should use a range until support is obtained; buyer should align purchase agreement language to unresolved QoE and debt-like items. The prudent approach is to lock one-point treatment only after documentary tie-out confirms scope, period, and recurring status.
- The close plan is to prioritize support for items comprising >USD 0.5m and document resolution path (support obtained vs reclassified vs removed). This adjustment should be reconciled to primary support before being embedded into debt sizing, covenant headroom, or final purchase-price math.

Follow-up required: complete source tie-out for the metrics on this page before converting preliminary conclusions into final deal positions. The commercial objective is to resolve this item once and carry that treatment consistently through valuation and closing-account schedules.



Source: qoe-adjustments.csv; management support status log (preliminary scenarios)

QoE Conclusions and Transaction Implications

Conclude the QoE analysis with decision-level implications for valuation, financing, and SPA negotiation priorities.

- Preliminary normalized EBITDA of USD 32.4m represents a USD 3.4m uplift to reported EBITDA, with the majority of uplift linked to non-recurring cost items. This should remain preliminary until source support is complete and SPA treatment is aligned with the working-capital bridge.
- The largest downside sensitivity remains in policy and timing adjustments, particularly services cut-off and software capitalization. The transaction consequence is that valuation should stay range-based until this item is substantiated, resized, or removed.
- At Jun-2026 net debt of USD 29.0m, leverage is approximately 0.9x on normalized EBITDA, supporting financing flexibility in base case scenarios. This is a high-leverage diligence point because timing and policy judgments can move both normalized EBITDA and purchase-price mechanics.
- Valuation should remain range-based until pending adjustments are supported, reclassified, or removed from the bridge. The prudent approach is to lock one-point treatment only after documentary tie-out confirms scope, period, and recurring status.
- Drafting risk is not the bridge itself but inconsistent definitions across QoE, NWC, and debt-like treatments in SPA schedules. This adjustment should be reconciled to primary support before being embedded into debt sizing, covenant headroom, or final purchase-price math.
- The recommendation is to close high-impact support items before final pricing, and lock cross-schedule definitions in legal documentation. The commercial objective is to resolve this item once and carry that treatment consistently through valuation and closing-account schedules.

Net Working Capital Overview

Summarize NWC profile and propose a preliminary peg view aligned to deal mechanics.

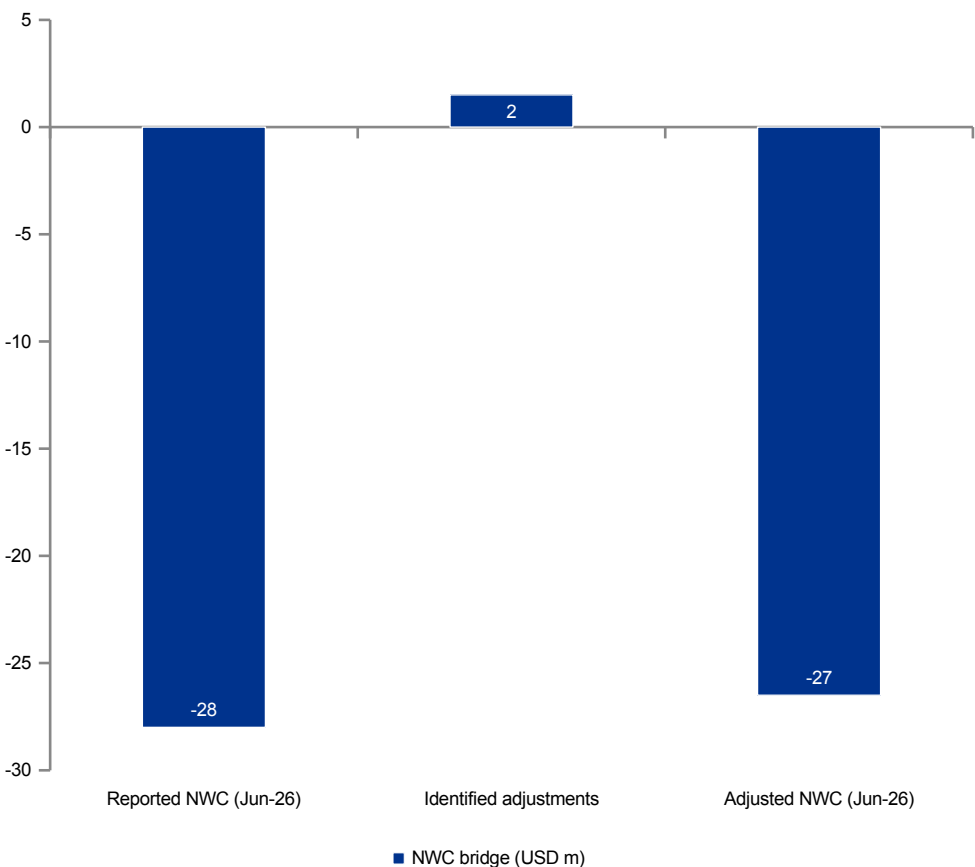
- [CHART PLACEHOLDER] This visual should anchor the quantitative bridge on the page and be tied directly to source schedules before circulation.
- Reported operating NWC was USD -28.0m at Jun-26 versus USD -21.0m at FY23, reflecting deferred revenue growth and subscription billing terms. Because the peg is negative, small timing and classification errors can move purchase price directly through the true-up.
- After identified normalizations (10 items; net +USD 1.5m), adjusted NWC is USD -26.5m (preliminary). This point is commercially significant because closing-account disputes typically concentrate in the same high-volatility accounts.

Preliminary peg implication: negative peg is appropriate given business model; propose -26m to -27m range subject to monthly schedule and SPA definition alignment. The right treatment is to resolve this once across QoE, NWC, and debt-like analyses so value effects are neither omitted nor duplicated.

Key drivers of variability: deferred revenue renewal seasonality (Q4 heavy), services milestone billings (contract assets), and timing of bonus and vendor accruals. The transaction implication is direct 1:1 sensitivity, which makes evidence quality as important as directional account movement.

- The transaction implication is that purchase price true-up sensitivity is high due to negative peg; narrow definitions and robust closing accounts procedures reduce dispute risk. This should be supported with monthly schedules and clear definitions so seasonality and cut-off effects are not misinterpreted at close.

Follow-up required: complete source tie-out for the metrics on this page before converting preliminary conclusions into final deal positions. The principal risk is definitional drift, which can create economic transfer even when the underlying business performance is unchanged.



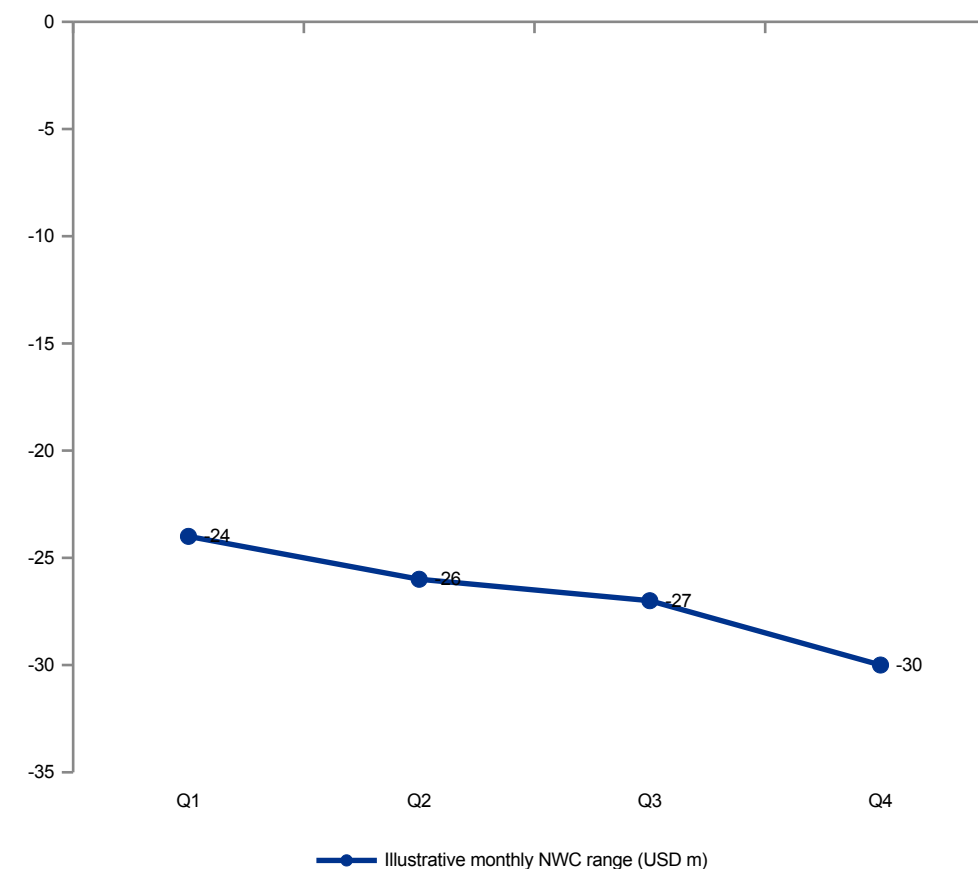
Source: financials-balance-sheet-stratified.csv and working-capital-adjustments.csv

NWC Seasonality and Peg Calibration

Assess seasonality and measurement-period considerations to calibrate the peg and mitigate closing date arbitrage.

- [CHART PLACEHOLDER] This visual should anchor the quantitative bridge on the page and be tied directly to source schedules before circulation.
- Management indicates NWC becomes more negative in Q4 due to annual renewals and upfront billings; monthly NWC is estimated to range from ~-24m to ~-30m (support pending to monthly schedule). Because the peg is negative, small timing and classification errors can move purchase price directly through the true-up.
- If closing occurs in Q4, peg should reference a seasonally-adjusted average rather than a point-in-time balance to prevent transfer of value via renewal timing. This point is commercially significant because closing-account disputes typically concentrate in the same high-volatility accounts.
- Services milestone billing can create short-term contract asset spikes; peg methodology should specify treatment of unapproved change orders and disputed balances. The right treatment is to resolve this once across QoE, NWC, and debt-like analyses so value effects are neither omitted nor duplicated.
- The transaction implication is that consider a trailing 12-month average peg or a seasonality-adjusted peg by quarter; define measurement period in SPA to avoid opportunistic timing. The transaction implication is direct 1:1 sensitivity, which makes evidence quality as important as directional account movement.

Data request: monthly balance sheet (last 24 months) with reconciliations for AR, contract assets, deferred revenue, and accrual components. This should be supported with monthly schedules and clear definitions so seasonality and cut-off effects are not misinterpreted at close.



Source: management seasonality commentary (support pending to monthly schedules)

AR and Contract Asset Review

Review AR and contract assets (unbilled receivables) for collectability and cut-off risks that impact peg and closing adjustment.

AR / contract asset metric	FY2023	FY2024	FY2025	TTM Jun-2026
Accounts Receivable (USD m)	22.0	25.0	27.0	28.0
Contract Assets (USD m)	6.0	7.0	8.0	9.0
Aged/disputed AR reserve adjustment (WC04)	-	-	-	-0.6
Unapproved change-order adjustment (WC05)	-	-	-	-0.4

Key takeaways

- AR and contract assets have grown with scale, but aging quality and change-order approval status drive the real peg risk. Because the peg is negative, small timing and classification errors can move purchase price directly through the true-up.
- WC04 and WC05 indicate that collectability and billability adjustments are already identifiable at meaningful value levels. This point is commercially significant because closing-account disputes typically concentrate in the same high-volatility accounts.
- Because these accounts are also linked to services cut-off, evidence standards should be aligned with QoE testing. The right treatment is to resolve this once across QoE, NWC, and debt-like analyses so value effects are neither omitted nor duplicated.
- Close true-up exposure can be reduced materially with subsequent-cash testing and project-level contract-asset support. The transaction implication is direct 1:1 sensitivity, which makes evidence quality as important as directional account movement.
- Priority support is full AR aging, disputes log, post-period receipts, and contract-asset schedules by project and approval status. This should be supported with monthly schedules and clear definitions so seasonality and cut-off effects are not misinterpreted at close.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

Deferred Revenue and Contract Liabilities

Review deferred revenue and contract liabilities for completeness and delivery alignment, given its outsized impact on negative NWC.

Deferred revenue metric	FY2023	FY2024	FY2025	TTM Jun-2026
Deferred Revenue (Current)	28.0	32.0	36.0	38.0
Deferred Revenue (Non-Current)	6.0	7.0	7.0	8.0
Total deferred revenue	34.0	39.0	43.0	46.0
Deferred revenue cut-off true-up (WC09)	-	-	-	+0.3

Key takeaways

- Deferred revenue scale is a structural feature of the annual billing model and a primary driver of negative working capital. Because the peg is negative, small timing and classification errors can move purchase price directly through the true-up.
- WC09 highlights timing reconciliation risk between delivered services and deferred-revenue release accounting. This point is commercially significant because closing-account disputes typically concentrate in the same high-volatility accounts.
- Deferred revenue should remain operating in peg mechanics, but delivery-status evidence is needed to avoid timing distortions. The right treatment is to resolve this once across QoE, NWC, and debt-like analyses so value effects are neither omitted nor duplicated.
- Cut-off matters here can affect both NWC and EBITDA conclusions, requiring one coordinated resolution path. The transaction implication is direct 1:1 sensitivity, which makes evidence quality as important as directional account movement.
- Required evidence is product- and term-level rollforward with explicit links to billing, delivery milestones, and release logic. This should be supported with monthly schedules and clear definitions so seasonality and cut-off effects are not misinterpreted at close.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

Working Capital Adjustments and Adjusted Peg

Summarize identified working capital adjustments and translate them into a preliminary adjusted peg recommendation.

ID	Adjustment	Amount (USD m)	Support	Peg relevance
WC01	Remove deal-related advisory accruals (transaction-specific)	+1.1	partial	high
WC02	Remove one-time ERP vendor payable (debt-like)	+0.7	pending	high
WC03	Normalize accrued annual bonus to run-rate	-0.5	partial	high
WC04	Reserve aged/disputed receivables	-0.6	pending	high
WC05	Remove unapproved change-order contract assets	-0.4	pending	medium
WC06	Exclude indirect tax payable from operating NWC	+0.5	supported	medium
WC07	Accrue under-recorded SaaS platform fees	-0.2	partial	medium
WC08	Exclude non-operating vendor prepayment	-0.2	pending	low
WC09	Deferred revenue cut-off true-up	+0.3	pending	medium
WC10	Remove litigation reserve (debt-like)	+0.8	pending	high
TOTAL	Net working-capital adjustments	+1.5	mixed	high

Key takeaways

- Identified working-capital adjustments total +USD 1.5m net, shifting reported NWC from USD -28.0m to a preliminary adjusted level of USD -26.5m. Because the peg is negative, small timing and classification errors can move purchase price directly through the true-up.
- High-relevance items are concentrated in accrual classification, reserves, and one-time liabilities rather than broad operating drift. This point is commercially significant because closing-account disputes typically concentrate in the same high-volatility accounts.
- Support status remains mixed, so the adjusted peg should currently be treated as provisional rather than final. The right treatment is to resolve this once across QoE, NWC, and debt-like analyses so value effects are neither omitted nor duplicated.
- Definitions in SPA must map each item to one category only: operating peg, debt-like, or pre-close settlement. The transaction implication is direct 1:1 sensitivity, which makes evidence quality as important as directional account movement.
- Final peg recommendation should follow a documented adjustment-to-definition crosswalk and evidence closure on pending items. This should be supported with monthly schedules and clear definitions so seasonality and cut-off effects are not misinterpreted at close.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

Closing Mechanics and Purchase Price Sensitivity

Translate working capital findings into closing mechanics recommendations and quantify potential purchase price adjustment sensitivity.

- A USD 1.0m NWC variance at close moves purchase price by USD 1.0m under standard true-up mechanics. Because the peg is negative, small timing and classification errors can move purchase price directly through the true-up.
 - With a negative peg structure, account classification choices can create outsized economic swings despite small absolute balance changes. This point is commercially significant because closing-account disputes typically concentrate in the same high-volatility accounts.
 - Deferred revenue, contract assets, litigation reserves, and transaction accruals are the most dispute-prone accounts in this package. The right treatment is to resolve this once across QoE, NWC, and debt-like analyses so value effects are neither omitted nor duplicated.
 - Timing-driven QoE adjustments and NWC adjustments overlap in several areas and must be cross-referenced before SPA finalization. The transaction implication is direct 1:1 sensitivity, which makes evidence quality as important as directional account movement.
 - Point-in-time measurement on a seasonal business profile can transfer value unintentionally if not normalized. This should be supported with monthly schedules and clear definitions so seasonality and cut-off effects are not misinterpreted at close.
- Define inclusions and exclusions unambiguously, including tax balances, transaction costs, lease-related items, and legal reserves. Because the peg is negative, small timing and classification errors can move purchase price directly through the true-up.
- Set measurement mechanics in writing:** calculation basis, cut-off conventions, and period reference (average versus snapshot). This point is commercially significant because closing-account disputes typically concentrate in the same high-volatility accounts.
- Require detailed account schedules at close for high-volatility balances to limit post-close interpretation disputes. The right treatment is to resolve this once across QoE, NWC, and debt-like analyses so value effects are neither omitted nor duplicated.
 - Use one integrated bridge across QoE, debt-like, and NWC workstreams so each adjustment is recognized once. The transaction implication is direct 1:1 sensitivity, which makes evidence quality as important as directional account movement.
 - Draft and review a mock closing statement before signing to pressure-test definitions and sensitivity. This should be supported with monthly schedules and clear definitions so seasonality and cut-off effects are not misinterpreted at close.

Key Diligence Risks

Consolidate the primary diligence risks, quantify where possible, and propose mitigations or deal protections.

- Services revenue cut-off remains the most material timing risk, with QA11 and related NWC items indicating direct sensitivity in both EBITDA and peg. This is a close-certainty issue as much as an accounting issue, and it should be tracked with explicit owner, evidence, and deadline.
- Capitalization policy risk (QA12) can shift reported operating expense and therefore both valuation base and future amortization burden. The mitigation path should be embedded in signing conditions so unresolved items do not migrate into post-close disputes.
- Retention and concentration metrics are still management-reported and pending independent tie-out, limiting confidence in downside revenue stress testing. From a transaction governance standpoint, this should be paired with targeted protections in definitions, covenants, or indemnity language.
- Security-remediation adjustments appear discrete, but residual obligations and customer-credit tail risk should be confirmed prior to close. The practical objective is to convert this from narrative risk into a closed evidence package before final pricing decisions are locked.
- Deal protection should focus on definition precision, targeted indemnities for discrete matters, and completion conditions on unresolved high-impact items. This risk should be monitored through a formal close plan with dated milestones and escalation points tied to value sensitivity.
- Residual risk is manageable if support closure is sequenced before finalizing valuation point estimates and closing-account mechanics. The decision-quality threshold is documentary closure, not directional agreement, given the direct impact on pricing and mechanics.

Financial Reporting Environment

Assess financial reporting process maturity and highlight areas that affect diligence confidence and post-close integration effort.

- Management reports an approximately eight-business-day close cycle, with additional effort currently required during ERP transition. This is a close-certainty issue as much as an accounting issue, and it should be tracked with explicit owner, evidence, and deadline.
- Manual journals are concentrated in revenue cut-off, capitalization, and accrual true-up entries. The mitigation path should be embedded in signing conditions so unresolved items do not migrate into post-close disputes.
- Services project accounting and deferred-revenue release workflows are not yet fully automated end to end. From a transaction governance standpoint, this should be paired with targeted protections in definitions, covenants, or indemnity language.
- Capitalization support still relies on spreadsheet-driven evidence aggregation in parts of the process. The practical objective is to convert this from narrative risk into a closed evidence package before final pricing decisions are locked.
- These characteristics increase dependence on reviewer judgment in precisely the areas that drive the largest deal sensitivities. This risk should be monitored through a formal close plan with dated milestones and escalation points tied to value sensitivity.
- Higher process discretion elevates the risk of QoE and working-capital disputes if supporting schedules are incomplete at close. This is a close-certainty issue as much as an accounting issue, and it should be tracked with explicit owner, evidence, and deadline.
- Immediate remediation priorities are cut-off controls, contract-accounting subledger discipline, and capitalization governance. The mitigation path should be embedded in signing conditions so unresolved items do not migrate into post-close disputes.
- Post-close integration planning should include controls uplift and reporting automation as core day-one value-protection actions. From a transaction governance standpoint, this should be paired with targeted protections in definitions, covenants, or indemnity language.
- Diligence confidence improves materially once journal analytics and reconciliation evidence are provided at account-level detail. The practical objective is to convert this from narrative risk into a closed evidence package before final pricing decisions are locked.
- Transaction teams should align remediation deliverables with closing conditions for high-impact accounting areas. This risk should be monitored through a formal close plan with dated milestones and escalation points tied to value sensitivity.

Open Diligence Items and Close Plan

List the unresolved diligence items required to finalize QoE, peg, and EV-to-equity bridge conclusions.

- Open items with highest value sensitivity are QA03, QA09, QA11, QA12, WC02, WC04, WC05, and WC10; each has direct impact on either normalized EBITDA, peg, or both. This is a close-certainty issue as much as an accounting issue, and it should be tracked with explicit owner, evidence, and deadline.
- Core data packs still required include AR aging with subsequent collections, deferred revenue rollforward, milestone delivery support, capitalization workpapers, and quarter-end journal listings. The mitigation path should be embedded in signing conditions so unresolved items do not migrate into post-close disputes.
- Legal and finance teams should align SPA definitions early for deferred revenue, taxes payable, transaction accruals, and litigation-related reserves. From a transaction governance standpoint, this should be paired with targeted protections in definitions, covenants, or indemnity language.
- Until these items are closed, a range-based valuation and peg framework is more defensible than single-point conclusions. The practical objective is to convert this from narrative risk into a closed evidence package before final pricing decisions are locked.
- Execution risk rises materially in the final weeks if support closure and definition alignment are handled sequentially instead of in parallel. This risk should be monitored through a formal close plan with dated milestones and escalation points tied to value sensitivity.
- Immediate next step is a dated close plan assigning owner, evidence source, and resolution decision for each open item. The decision-quality threshold is documentary closure, not directional agreement, given the direct impact on pricing and mechanics.

Appendix A - ARR Cohort and Retention Support

Provide ARR cohort / retention support for the main-deck revenue quality conclusions.

ARR / retention metric	FY2023	FY2024	FY2025	TTM Jun-2026
Management-reported ARR (USD m)	118	133	148	155
Net revenue retention (%)	106	107	109	108
Gross retention (%)	92	93	93	93
Support status	Pending	Pending	Pending	Pending

Key takeaways

- ARR and retention metrics support the recurring-revenue thesis, but all key values are currently management-reported and pending independent tie-out. This appendix is intended to close evidence gaps, and conclusions should remain provisional until exhibit-level reconciliation is complete.
- The reported NRR profile suggests expansion offsets gross churn; cohort-level support is needed to validate concentration and segment mix effects. Its value is to reduce ambiguity in core deal assumptions rather than repeat headline statements from the main deck.
- This appendix is decision-relevant because revenue durability assumptions directly inform valuation multiple confidence. The support should tie directly to valuation, peg, and SPA assumptions so each workstream references a single fact base.
- The exhibit should reconcile ARR movement to billed activity and GAAP revenue mapping, not just headline KPI outputs. This page becomes decision-useful only when source files, schedules, and narrative conclusions are reconciled without open breaks.
- Required support includes cohort bridge, churn logs, and contract-level price and expansion attribution. The expected output is not additional narrative volume, but tighter evidentiary linkage to the core deal conclusions.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

Appendix B - Payroll Analysis

Support operating expense analysis with payroll/headcount trends and preserve the analyst-owned exhibit placeholder.

Payroll metric	FY2023	FY2024	FY2025	TTM Jun-2026
Total cash compensation (USD m, management)	44	48	52	54
Estimated FTE count (management)	560	590	610	615
Contractor usage trend	Baseline	Rising	Elevated	Elevated
Exhibit status	[TABLE IMAGE PLACEHOLDER]	[TABLE IMAGE PLACEHOLDER]	[TABLE IMAGE PLACEHOLDER]	[TABLE IMAGE PLACEHOLDER]

Key takeaways

- Payroll and headcount trends are directionally consistent with the growth and investment narrative in S&M and product functions. This appendix is intended to close evidence gaps, and conclusions should remain provisional until exhibit-level reconciliation is complete.
- Increased contractor usage is a key bridge item between operating delivery constraints and QoE adjustments. Its value is to reduce ambiguity in core deal assumptions rather than repeat headline statements from the main deck.
- Compensation detail is critical to validate severance, retention, and temporary-labor normalization claims. The support should tie directly to valuation, peg, and SPA assumptions so each workstream references a single fact base.
- Appendix quality depends on direct tie-out from payroll and HRIS systems to GL departmental expense lines. This page becomes decision-useful only when source files, schedules, and narrative conclusions are reconciled without open breaks.
- Replace the placeholder exhibit with a functional compensation bridge including base, incentive, commissions, and contractor spend. The expected output is not additional narrative volume, but tighter evidentiary linkage to the core deal conclusions.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

Appendix C - Capex and Capitalized Software Detail

Provide capex and capitalized software detail to support cash conversion and capitalization policy conclusions.

Capex / development metric	FY2023	FY2024	FY2025	TTM Jun-2026
PP&E capex cash outflow (USD m)	2.0	2.5	3.0	3.0
Capitalized software development (USD m)	4.0	4.5	5.0	4.5
Total investment cash outflow (USD m)	6.0	7.0	8.0	7.5

Key takeaways

- Capex and capitalized software trends support continued platform investment and explain a meaningful share of cash deployment. This appendix is intended to close evidence gaps, and conclusions should remain provisional until exhibit-level reconciliation is complete.
- These balances are directly linked to the capitalization-policy adjustment risk identified in QoE. Its value is to reduce ambiguity in core deal assumptions rather than repeat headline statements from the main deck.
- A project-level bridge is required to distinguish maintenance effort from capitalizable enhancement activity. The support should tie directly to valuation, peg, and SPA assumptions so each workstream references a single fact base.
- Amortization assumptions should be validated alongside additions to test whether reported EBITDA is sustainably representative. This page becomes decision-useful only when source files, schedules, and narrative conclusions are reconciled without open breaks.
- The final appendix should tie ledger additions, project evidence, and amortization schedules into one auditable rollforward. The expected output is not additional narrative volume, but tighter evidentiary linkage to the core deal conclusions.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).

Appendix D - Debt and Lease Schedule

Provide debt and lease schedule detail supporting net debt and covenant commentary.

Debt / lease metric	FY2023	FY2024	FY2025	TTM Jun-2026
Term debt (USD m)	50.0	45.0	40.0	38.0
Lease liabilities (USD m)	4.0	4.0	4.0	4.0
Net debt (USD m)	42.0	39.0	33.0	29.0
Illustrative maturity	2029	2029	2029	2029

Key takeaways

- Debt and lease balances support the reported net-debt trajectory and indicate manageable leverage at current earnings levels. This appendix is intended to close evidence gaps, and conclusions should remain provisional until exhibit-level reconciliation is complete.
- The main remaining risk is covenant-definition and add-back treatment consistency under downside earnings scenarios. Its value is to reduce ambiguity in core deal assumptions rather than repeat headline statements from the main deck.
- Debt-like classification work should be coordinated with this schedule to avoid mismatch between legal and financial bridges. The support should tie directly to valuation, peg, and SPA assumptions so each workstream references a single fact base.
- Close certainty improves if term sheets, amortization detail, and covenant calculations are validated before final documentation. This page becomes decision-useful only when source files, schedules, and narrative conclusions are reconciled without open breaks.
- The final schedule should include maturity, pricing, covenant headroom, and permitted-adjustment mechanics in one reconciled view. The expected output is not additional narrative volume, but tighter evidentiary linkage to the core deal conclusions.



[TABLE IMAGE PLACEHOLDER] Analyst-owned exhibit placeholder retained. Source: management-provided information and KPMG analysis (simulated).